Does the Label Matter? Explaining When Chinese Development Finance and FDI Blur in Indonesian Elite Narratives

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Core Claim

Development Finance (DF) and Foreign Direct Investment (FDI) blur when projects look state-orchestrated but remain hard to audit: DF draws technocratic scrutiny via legible liability, while FDI produces polarized contestation via visible local externalities; **National Strategic Project (PSN)** status makes private projects look state-backed, even when the state's actual exposure is unclear.

01. Context: Why this Puzzle Matters

- Indonesia hosts both DF and FDI, but elite discourse often collapses them into "Chinese investment."
- This conflation is politically consequential: it redirects public scrutiny and blame when projects face delays, cost overruns, or harms.
- The same "China-linked" label can generate very different accountability disputes across projects.

02. Research Questions

- What explains variation in narrative tiers across Chinese-linked projects in Indonesia?
- When does discourse blur DF and FDI into a single, state-associated narrative?

03. Theory: Perceived State-ness

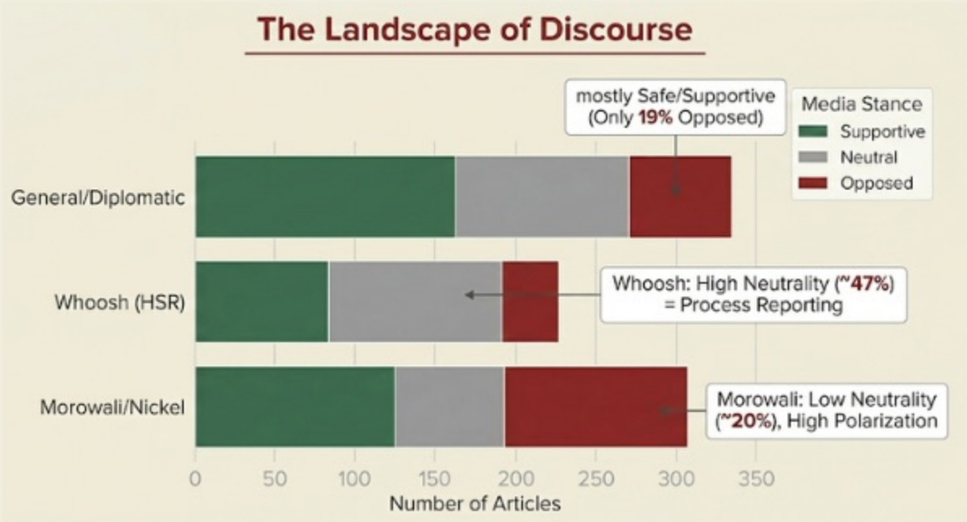
Perceived state-ness is the extent to which observers perceive **(i)** state mediation and **(ii)** legible public liability that can be audited and attributed.

The Narrative Matrix

Input Signal	Perceived State-ness	Auditability / Legible Liability	Tier
General / Diplomatic (routine coverage)	Low	Low (minimal attribution)	Tier 1
Development Finance (DF)	High (legible)	High (auditable exposure chains)	Tier 2
FDI (firm-led)	Low (opaque)	Low (relies on local externalities)	Tier 3
Private FDI + PSN designation	Mixed (visible but opaque)	State blame without auditability	Hybrid Tier 3

04. Framework: Three Narrative Tiers

- Tier 1 Safe baseline: routine, descriptive reporting with limited responsibility attribution.
- Tier 2 Technocratic scrutiny: evaluative reporting organized around public liability, governance, cost overruns, and oversight.
- Tier 3 Polarized contestation: evaluative reporting organized around salient distributional conflict, local harms, and moralized blame.



05. Mechanism

Legible liability (DF → Tier 2)

State-to-state DF creates clear responsibility chains and plausible public exposure (budgets, guarantees), so coverage centers on audit-style scrutiny: costs, procurement, oversight, and delivery performance.

Visible local externalities (FDI → Tier 3)

Firm-led FDI lacks clear public liability chains; narratives organize around land, labor, and environmental harms, producing polarization and blame.

The PSN blur (Private FDI + PSN → Hybrid Tier 3)

PSN designation makes the state visibly involved, but leaves exposure and responsibility hard to verify; Journalists fall back on visible harms and headline incidents while still treating the state as responsible.

Framing note: Tier 2 coverage centers on audit/governance language; Tier 3 coverage centers on harms, conflict, and blame.

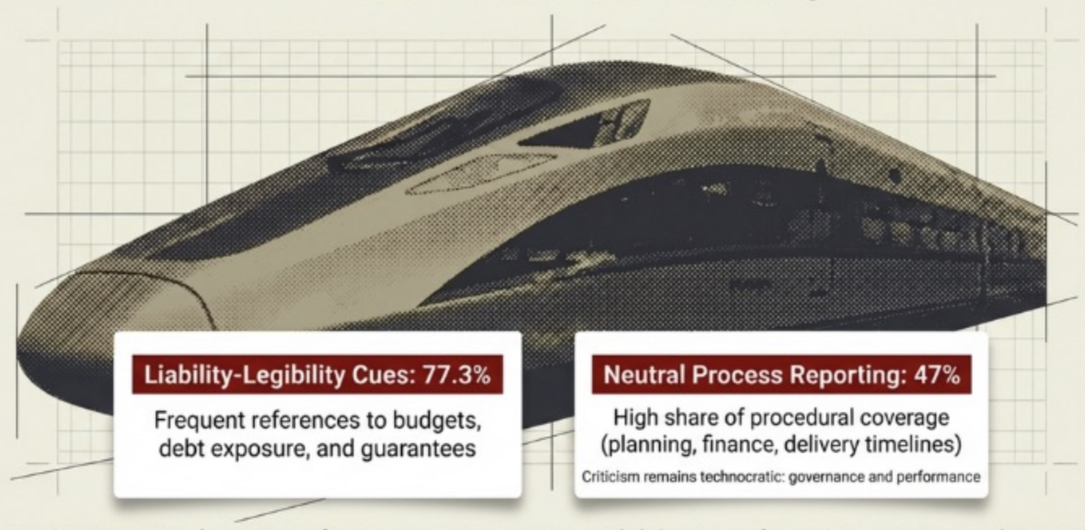
06. Method and Data

- Project mapping: AidData, BKPM, fDi Markets (Financial Times), CGIT
- Articles N=762; 3 outlets; 2013–2024
- Coding: LLM protocol + audit/validation
- Interviews: 4 elites (policy/business/CSO/media)

07. Findings: Two Cases

Whoosh (High-Speed Rail)

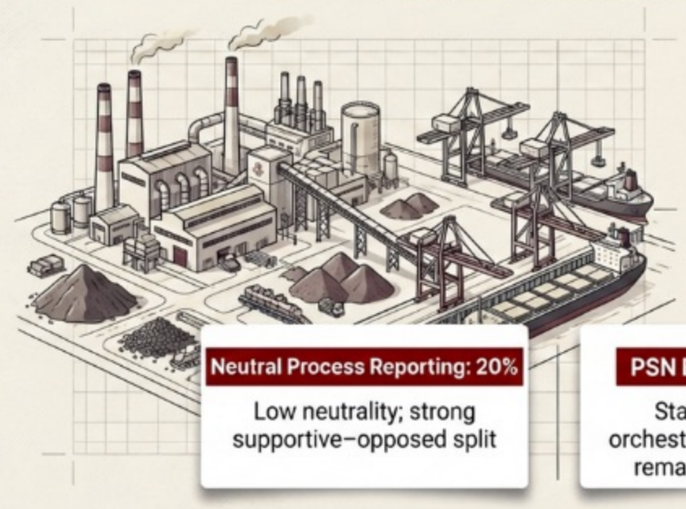
Tier 2 — Technocratic Serutiny



Narrative: Sustained scrutiny of governance, exposure, and delivery performance — not outright rejection

Morowali Nickel Downstreaming (IMIP)

Tier 3 — Polarized Contestation (PSN Blur)



- **Information vacuum:** Limited auditable "state-like" information.
- **Reliance on proxies:** Grievances, environmental proxies, and incident-driven reporting.
- **Outcome:** Polarized contestation with state-associated blame.

Narrative: Externalities and incidents dominate coverage; blame becomes state-associated under low transparency

08. Implications

- Government: Standardize disclosure of state exposure, guarantees, and oversight responsibilities.
- Firms/Financiers: Disclose local impact and complaint resolution early to prevent escalation into Tier 3.
- Media/CSOs: Distinguish "who orchestrates" from "who pays" to reduce DF–FDI conflation.